give everyone that is capable the tools and resources to better themselves, and in doing so, better the country?

Last week, I met with some members of Ela Bhatt's Self-Employed Women's Association. In a room full of poor but confident women entrepreneurs, I asked how many borrowed from moneylenders before they came to SEWA. About half the women raised their hands. When asked how many thought of approaching a regular bank before they came to SEWA's cooperative bank, not one raised her hand. Interestingly, many of them said that the loan from SEWA freed them from the moneylender's high interest rate, which gave them enough to service SEWA's loan fully even while focusing on other productive activities. I have heard this from other micro-entrepreneurs – the highest return initial investment is often to free oneself of the clutches of the moneylender. Despite this high return from the delivery of credit to the poor, and despite much of our financial inclusion efforts being focused on credit, we still reach too few of the target population. So there is much more to be achieved.

We have tried to effect inclusion in the past through mandates – whether it be through direction on branch opening or on lending to priority sectors. That we are still far short of our goals has led some critics to suggest we should abandon mandates because the market will take care of needs; if the poor have demand for financial services, the critics say, providers will emerge to supply it. Markets do respond to need, and competition is a very healthy force for improvement, but market functioning can be impeded by poor infrastructure, uneven regulation, natural or regulatory monopolies, and even cartelization.

While enlisting competitive forces wherever possible to compete for the bottom of the pyramid's business, as a development central bank we also need to offer a supportive hand. By putting in place the right infrastructure and enabling regulation, we have to encourage the